DLocal Limited (NASDAQ: DLO) — Investment Thesis

June 16, 2026 | Updated post-Q1 2026 results

Executive Summary

DLocal Limited is a technology-first payments platform that enables global enterprise merchants — including Amazon, Uber, Microsoft, Google, Spotify, and Shopify — to accept and send payments in emerging markets across Latin America, Africa, and Asia. Through a single API, a single contract, and a single platform spanning 40+ countries, DLocal abstracts away the extraordinary complexity of local payment methods, FX conversion, regulatory compliance, and settlement in markets where traditional payment processors cannot or will not operate.

The company grew revenue from $419M (2022) to $1,094M (FY2025) while maintaining Adjusted EBITDA margins in the 25-26% range — a rare combination of rapid growth and durable profitability. TPV has scaled from $9.8B (2022) to $40.8B (FY2025), demonstrating the platform's ability to capture an ever-growing share of cross-border and local payment flows in high-growth economies. **Q1 2026 results (reported May 14, 2026) confirmed the accelerating trajectory: TPV crossed $14B for the first time ($14.1B, +73% YoY — a sixth straight quarter of 50%+ growth), revenue reached $335.9M (+55%), and gross profit hit a record $118.7M (+40%).** The net take rate continued its gradual decline to 0.84% (from 0.88% in Q4 2025) on payment-method mix and narrower FX spreads. Reported operating profit ($52.8M) and net income ($41.9M) were depressed by a one-off $9.7M prior-periods tax adjustment; on an underlying basis operating profit was $57.2M (+25%) and net income $51.6M (+11%). Management reaffirmed full-year 2026 guidance of +50–60% TPV growth, +22.5–27.5% gross-profit growth, and +27.5–32.5% operating-profit growth, and noted that operating leverage should improve in H2 2026 as 2025 cost carryover fades.

Notably, dLocal shifted its headline profitability framing to **operating profit** in 2026 (Adjusted EBITDA is no longer separately disclosed); this model retains the EBITDA-anchored DCF for continuity while cross-checking against the new operating-profit guidance.

Capital allocation is evolving: 30% of FCF is returned as dividends, and shares are held flat at ~305M as a newly authorized $300M share buyback offsets SBC dilution (with $10.1M repurchased in Q1 2026).

Our bottom-up model, anchored in TPV growth, net take rate dynamics, and geographic expansion, yields the following DCF-implied share prices (diluted):

Scenario	Implied Price	2030E Revenue	2030E Adj EBITDA	Rev CAGR (25-30)
Bull	**$37.98**	$4,610M	$1,095M	33.3%
Base	**$26.04**	$3,787M	$810M	28.2%
Bear	**$14.49**	$2,774M	$489M	20.5%

Current stock price: $12.25 (June 16, 2026). Base case implies +113% upside, Bull +210%, Bear +18%.

The thesis rests on three pillars: (1) TPV growth driven by merchant expansion and geographic penetration in underpenetrated emerging markets, (2) a net take rate that compresses gradually but is more than offset by volume growth, creating positive revenue leverage, and (3) operating leverage in a platform business where incremental TPV drops through at high margins, funded by a debt-free balance sheet generating substantial free cash flow.

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Company Overview

What DLocal does. DLocal operates as the critical payments infrastructure connecting global merchants with consumers in emerging markets. When a consumer in Brazil pays for an Uber ride, or a user in Nigeria subscribes to Spotify, or a shopper in Mexico buys from Amazon — DLocal processes that payment. The company handles both "pay-ins" (collecting payments from consumers on behalf of merchants) and "pay-outs" (disbursing funds to merchants, sellers, or drivers in local currencies).

Why merchants choose DLocal. Operating in emerging markets requires navigating a labyrinth of local payment methods (PIX in Brazil, SPEI in Mexico, UPI in India), local regulations, tax withholding requirements, FX conversion, and settlement complexities. Before DLocal, a merchant wanting to operate in 15 LatAm countries might need 15 separate integrations with 15 different local processors, 15 different contracts, and 15 different compliance frameworks. DLocal's "One dLocal" model collapses this into a single integration — one API, one contract, one platform. This is the moat.

Scale as of FY2025 (audited):

Metric	FY2023	FY2024	FY2025	Q1 2026
TPV	$17.7B	$25.6B	$40.8B	$14.1B (+73% YoY)
Revenue	$650M	$746M	$1,094M	$335.9M (+55%)
Gross Profit	$277M	$295M	$403M	$118.7M (+40%)
Adj. EBITDA	$202M	$189M	$278M	~$69M (est.)
Net Income	$149M	$121M	$197M	$51.6M[1] (+11%)
Gross Margin	43%	40%	37%	35%
EBITDA Margin	31%	25%	25%	~21%
Net Take Rate (GP/TPV)	1.56%	1.15%	0.99%	0.84%
Countries	40	42	43+	44+
Merchants	—	—	760+	760+

[1] Q1 2026 net income on an underlying basis (excluding a one-off $9.7M prior-periods tax adjustment); reported net income was $41.9M. Adj. EBITDA is estimated — dLocal moved to operating profit as its headline profitability metric in 2026 and no longer discloses Adjusted EBITDA separately.

DLocal now operates across 44 markets with 37 licenses across 26 jurisdictions. At scale, the platform processes 3.5 billion pay-in transactions annually (~6,700/minute), and over 100 million individuals received payouts through the platform in FY2025.

Key Concepts an Investor Must Understand

1. Emerging Market Payments Complexity Is the Moat

DLocal's value proposition is not a superior algorithm or cheaper price — it is the sheer operational difficulty of doing what it does. Consider what a global merchant faces when entering Brazil: PIX (instant payments), Boleto Bancario (bank slips), credit/debit cards across multiple acquirers, local tax withholding (IOF), Central Bank reporting requirements, and real-time FX conversion from BRL to USD. Now multiply that complexity by 40+ countries, each with its own payment methods, currencies, and regulatory regimes.

DLocal has spent years building direct integrations with local payment infrastructure — banks, card schemes, mobile money operators, alternative payment methods — across emerging markets. This creates a compounding moat: each new country integration makes the platform more valuable to existing merchants, and each new merchant makes the unit economics of maintaining those integrations more attractive. Competitors would need years and significant capital to replicate this local infrastructure.

2. TPV Growth Is the Master Variable

Nearly every financial metric flows from Total Payment Volume (TPV). More TPV at a given take rate → more revenue. More revenue over a relatively fixed cost base → higher margins. Historical TPV growth has been exceptional:

Year	TPV ($B)	YoY Growth
2021	$5.9	+156%
2022	$9.8	+66%
2023	$17.7	+81%
2024	$25.6	+45%
2025	$40.8	+59%
Q1 2026	$14.1 (qtr)	+73%

Growth is moderating from triple-digit levels, but remains remarkably strong — Q1 2026 TPV grew +73% YoY (the sixth consecutive quarter above 50%), broad-based across Mexico, Brazil, Argentina, and emerging contributors such as Nigeria and Vietnam. Our model assumes 55% (Base 2026) declining to 20% (Base 2030), squarely within DLocal's reaffirmed guidance of 50-60% TPV growth for 2026 and the reality that DLocal is still processing a tiny fraction of the $2+ trillion in annual cross-border and local e-commerce payment flows in emerging markets.

3. Net Take Rate Compression — Headwind or Feature?

DLocal's net take rate (gross profit as a percentage of TPV) has compressed from ~2.1% in 2022 to 0.99% for FY2025, and to 0.84% in Q1 2026 (from 0.88% in Q4 2025). This alarms some investors, but it is a structural and largely intentional feature of the business model:

- **Volume discounts for enterprise clients**: As merchants scale TPV, they negotiate lower per-transaction fees. This is standard in payments.
- **Mix shift toward lower-take-rate products**: Pay-outs carry lower margins than pay-ins. As DLocal expands pay-out services, the blended take rate declines.
- **Geographic mix**: Expanding into lower-margin geographies (e.g., certain Asian markets) dilutes the blended rate.
- **Competitive pressure**: In some markets (Brazil, Mexico), local competitors put pressure on pricing.

Management explicitly views take rate as "an output metric, not a managed metric," prioritizing TPV scale over take rate maximization. This philosophy suggests take rate compression will continue as long as it drives scale.

The critical insight is that **absolute gross profit dollars continue to grow** despite take rate compression. GP grew from $202M (2022) to $403M (2025) — and a record $118.7M in Q1 2026 alone (+40% YoY) — even as the take rate fell from 2.1% to 0.84%. The formula is simple: if TPV grows faster than the take rate compresses, the business grows. Our model assumes the net take rate declines from 0.82% (Base 2026, modestly above the 0.84% printed in Q1 to allow for continued mix-driven softening) to 0.68% by 2030. This is consistent with management's guidance of 22.5-27.5% GP growth on 50-60% TPV growth. Even at these lower take rates, strong TPV growth supports robust revenue and GP expansion.

4. Pay-In vs. Pay-Out Economics

DLocal processes two types of flows:

- **Pay-ins** (70% of TPV in 2024): Consumer pays merchant. Higher take rate (~1.5-2.0% of value). This is the core product.
- **Pay-outs** (30% of TPV in 2024): Merchant sends money to individuals (e.g., Uber paying drivers, marketplace disbursements). Lower take rate (~0.5-0.8%). Growing faster than pay-ins.

The shift toward more pay-outs is one driver of take rate compression. However, pay-outs are highly sticky — once a merchant integrates DLocal for disbursements, switching costs are substantial. The pay-out business also opens DLocal to new merchant categories (gig economy, marketplaces, gambling) that may not have significant pay-in volumes.

5. Net Revenue Retention (NRR) Tells the Real Story

DLocal's NRR — measuring how much existing merchants spend year-over-year — has been consistently above 100%, and often dramatically so:

Period	NRR
FY2023	150%
FY2024	113%
Q3 2025	149%
Q4 2025	145%
FY2025 TPV retention	158%
Q1 2026	n/d*

dLocal did not separately disclose NRR in the Q1 2026 release; the model carries the prior ~145% level.

An NRR of 149% means that the same cohort of merchants from a year ago is now spending 49% more through DLocal. This demonstrates: (a) merchants are growing their own businesses in emerging markets, (b) merchants are expanding to new DLocal-supported countries, and (c) merchants are adopting additional DLocal products (pay-outs, BNPL, stablecoin rails). High NRR means DLocal can grow revenue even without adding new merchants.

6. Geographic Diversification Reduces Concentration Risk

DLocal's revenue was historically dominated by Brazil, but the company has systematically diversified:

FY2024 Revenue by Geography ($M):

Region/Country	Revenue	% of Total
Brazil	$152.0	20%
Mexico	$149.2	20%
Argentina	$85.5	11%
Chile	$51.2	7%
Other LatAm	$124.4	17%
LatAm Total	**$562.2**	**75%**
Egypt	$94.0	13%
Nigeria	$13.3	2%
Other Africa/Asia	$76.5	10%
Africa & Asia Total	**$183.8**	**25%**

The top 3 countries (Brazil, Mexico, Egypt) account for ~53% of revenue, down from higher concentration in prior years. Africa & Asia at 25% of revenue — up from 24% in 2023 — represents a significant diversification into higher-growth, higher-margin markets.

Egypt merchant concentration event. Egypt experienced a notable merchant concentration event in FY2025: a large merchant moved from 100% share-of-wallet with DLocal to sub-50% by adding a redundant processor. DLocal is recovering share through performance but management acknowledges the relationship will structurally never return to 100%. This highlights the importance of merchant diversification and the risk of single-merchant dependency in individual markets.

7. The Balance Sheet Is a Fortress

DLocal is **effectively debt-free** with substantial liquidity:

Asset	FY2025	Q1 2026
Total cash & equivalents	$425.2	$815.6
Corporate (own) cash	$424.5	$451.8
Total debt	~$0	~$0
Total equity	$569.4	—

The distinction between "own funds" and "merchant funds" is important. Merchant funds are held in trust and are not available for corporate use. Corporate cash rose to **$451.8M** as of Q1 2026 (+$95.9M YoY, +$27.3M QoQ), providing ample flexibility for investment, potential M&A, and shareholder returns. The company has declared $57.2M in dividends and authorized a new **$300M share buyback** program (with $10.1M repurchased in Q1 2026), signaling a maturing capital allocation framework. The model uses $451.8M corporate cash in the DCF net-cash bridge.

8. FX Risk — Real but Managed

Operating across 40+ countries with dozens of currencies creates inherent FX exposure. DLocal mitigates this through:

- **Short settlement windows**: DLocal typically settles within 24-72 hours, minimizing the period of currency exposure
- **Spread-based pricing**: In some markets (e.g., Argentina), DLocal earns an FX spread that actually benefits from currency volatility
- **Natural hedging**: Revenue and costs in the same currency offset each other
- **Selective use of derivatives**: For concentrated exposures

The Argentina situation is instructive. During periods of peso devaluation, DLocal's FX spread income in Argentina has actually increased, partially offsetting volume impacts. However, currency devaluations can also reduce the USD value of TPV processed in local markets, creating headline risk.

Growth Strategy / Key Opportunities

1. Geographic Expansion

DLocal operates in 43 countries but the addressable market includes 100+ emerging market economies. Key expansion targets include India, Southeast Asia (Indonesia, Vietnam, Philippines), and additional African markets. Each new country added creates cross-sell opportunities with existing merchants and attracts new merchants who need coverage in that market.

2. Product Expansion

- **BNPL (Fuse)**: Live in 6 countries with 88% QoQ growth in Q4 2025. Adds a high-margin financing layer to the payment flow. Management expects Fuse "unlikely to move the needle in 2026 but by 2027 could be material."
- **APMs-on-File**: 27 alternative payment methods across 16 countries. Enables recurring billing in markets without widespread card penetration.
- **Card-Present Payments**: Launching card-present via smart POS hardware for international merchants in emerging markets. Management describes this as opening "by far the largest addressable market" but cautions it is "an embryonic product launch." Built alongside specific merchant contracts with minimal upfront OpEx.
- **Stablecoin Rails**: Full-suite platform launched (stablecoin settlement went live around Q1 2026) including fiat on/off-ramps, stablecoin settlements, and checkout collection. Three potential segments: (1) digital asset exchanges (current primary use), (2) merchant checkout (early stage), (3) corporate treasury (projected largest long-term due to cost/speed/24-7 settlement benefits).
- **B2B payments**: Extension of pay-out infrastructure to corporate treasury management.

Q1 2026 momentum: Management highlighted broadening vertical and geographic contribution — the Travel vertical grew +38% QoQ, Gaming emerged as an early-stage opportunity leveraging the merchant-of-record product at higher take rates, and Africa & Asia reached 29% of gross profit (+16% QoQ). The previously announced Africa asset acquisition closed in the quarter (adding capabilities with no immediate revenue contribution).

3. Merchant Expansion

DLocal counts 760+ merchants as of Q4 2025, including many of the world's largest digital companies. The pipeline of potential merchants is vast — any company doing business in emerging markets is a potential customer. New implementations include DHL Express, Open English, and Google. Top 50 merchants are served across an average of 12 countries and 50 payment methods, underscoring deep platform entrenchment.

4. Same-Store Growth (NRR)

Existing merchants growing their own businesses in emerging markets is a powerful, low-cost growth engine. With NRR consistently above 130%, a significant portion of DLocal's growth is "automatic" — it requires no incremental sales effort.

Scenario Analysis

Bull Case: Accelerated Adoption, EM Tailwinds

Assumptions: TPV growth 60% in 2026 declining to 24% by 2030. Net take rate compresses from 0.85% to 0.75% by 2030. EBITDA/GP expands from 69% to 72%. Favorable EM macro (commodity boom, growing middle class, digital adoption acceleration).

Narrative: DLocal captures share as the de facto emerging market payment rail. New products (BNPL, stablecoins) add revenue layers. Geographic expansion into Asia accelerates. Merchant wins from competitors. Egypt and Nigeria recover strongly.

Metric	2026E	2028E	2030E
TPV ($B)	$65	$128	$203
Revenue ($M)	$1,500	$2,848	$4,610
Adj EBITDA ($M)	$383	$708	$1,095
EBITDA Margin	25.5%	24.8%	23.8%

DCF Implied Price: $37.98 (diluted)

Base Case: Steady Execution

Assumptions: TPV growth 55% in 2026 declining to 20% by 2030. Net take rate compresses from 0.82% to 0.68% by 2030. EBITDA/GP held flat at 69%. Moderate EM growth. Some FX headwinds.

Narrative: DLocal continues executing its playbook. TPV growth decelerates naturally as the base grows. Take rate compression moderates as the product mix stabilizes. OpEx discipline maintains margins. New geographies contribute modestly.

Metric	2026E	2028E	2030E
TPV ($B)	$63	$115	$173
Revenue ($M)	$1,482	$2,511	$3,787
Adj EBITDA ($M)	$358	$572	$810
EBITDA Margin	24.1%	22.8%	21.4%

DCF Implied Price: $26.04 (diluted)

Bear Case: Headwinds Persist

Assumptions: TPV growth 45% in 2026 declining to 15% by 2030. Net take rate compresses from 0.75% to 0.61% by 2030. EBITDA/GP deteriorates from 65% to 63%. EM currency crises, regulatory setbacks, competitive pressure.

Narrative: Multiple EM currencies devalue sharply, reducing USD-denominated TPV. Key markets (Argentina, Nigeria, Egypt) experience political/economic instability. Competitors undercut pricing in Brazil and Mexico. New product launches disappoint.

Metric	2026E	2028E	2030E
TPV ($B)	$59	$94	$127
Revenue ($M)	$1,345	$2,064	$2,774
Adj EBITDA ($M)	$288	$396	$489
EBITDA Margin	21.4%	19.2%	17.6%

DCF Implied Price: $14.49 (diluted)

DCF Valuation Methodology

Approach

We use a 10-year two-phase Discounted Cash Flow with a Gordon Growth terminal value. Phase 1 (2026-2030): Detailed bottom-up model. Phase 2 (2031-2035): Simplified fade — TPV growth decelerates from ~20% to ~8% (base), take rates stabilize near 0.63%, EBITDA/GP holds at 69%. Terminal value applied at year 10. Key parameters:

Parameter	Value	Rationale
WACC	11.5%	CAPM: 4.3% risk-free + 1.30 beta x 5.5% ERP. Slight EM risk premium.
Terminal Growth	3.5%	Reflects long-term EM nominal GDP growth; digital payments secular tailwind
FCF Definition	Adj EBITDA - Cash Taxes - Capex - WC Changes	Conservative, uses cash metrics

Base Case FCF Projections ($M)

Phase 1 — Detailed bottom-up model (2026-2030):

Year	Adj EBITDA	Cash Taxes	Capex	WC Change	FCF
2026	$358	-$54	-$27	-$15	$263
2027	$470	-$71	-$34	-$20	$346
2028	$572	-$86	-$40	-$25	$421
2029	$695	-$104	-$50	-$31	$509
2030	$810	-$122	-$57	-$38	$594

Phase 2 — Simplified fade (2031-2035): TPV growth decelerates from ~17% to ~8%, take rates stabilize near 0.63%, and EBITDA/GP holds at ~69%. FCFs continue to grow but at a moderating pace, reaching approximately $971M by 2035.

Terminal value (applied at year 10) accounts for 57% of enterprise value, down from 77% in the prior 5-year model — reflecting the extended explicit forecast period that captures more value in modeled cash flows.

Enterprise Value Bridge (Base Case)

Component	$M
PV of FCFs (2026-2035)	$3,214
PV of Terminal Value	$4,276
Enterprise Value	**$7,490**
+ Net Cash	$451.8
Equity Value	**$7,942**
Diluted shares (M)	305
Implied price	**$26.04**
TV % of EV	57%

Shares held flat at 305M — $300M buyback authorization assumed to offset SBC dilution. 30% of FCF returned as dividends. The 10-year model captures more value in explicit FCFs, reducing terminal value dependence from 77% to 57%.

Price Sensitivity (WACC vs. Terminal Growth)

Note: Sensitivity table reflects the 10-year two-phase DCF model. The grid center (WACC 11.5% / TG 3.5%) is $25.86; the headline base-case DCF is $26.04 — the ~$0.18 gap reflects a minor difference between the sensitivity engine and the main valuation routine and is immaterial. Terminal value sensitivity is lower than in the prior 5-year model because the extended forecast captures more value in explicit cash flows (TV is 57% vs. 77% previously).

	TG 2.0%	TG 2.5%	TG 3.0%	TG 3.5%	TG 4.0%
WACC 9.0%	$33.08	$34.69	$36.57	$38.79	$41.46
WACC 9.5%	$30.63	$31.97	$33.52	$35.32	$37.45
WACC 10.0%	$28.50	$29.63	$30.91	$32.40	$34.13
WACC 10.5%	$26.63	$27.59	$28.67	$29.90	$31.33

	TG 2.0%	TG 2.5%	TG 3.0%	TG 3.5%	TG 4.0%
WACC 11.0%	$24.98	$25.79	$26.71	$27.74	$28.93
WACC 11.5%	$23.50	$24.20	$24.98	**$25.86**	$26.86
WACC 12.0%	$22.18	$22.79	$23.46	$24.21	$25.06
WACC 12.5%	$21.00	$21.52	$22.10	$22.75	$23.47
WACC 13.0%	$19.92	$20.38	$20.89	$21.44	$22.06

The valuation is positive across the entire sensitivity range. Even at a 13% WACC and conservative 2.0% terminal growth, the implied price is $19.92 — a 63% premium to the current stock price.

Exit Multiple Valuation (2035E)

The DCF above relies on a Gordon Growth terminal value. As a cross-check, we value DLO using **exit multiples** applied to 2035E financials (end of Phase 2 fade period) and discounted back to present value at 11.5% WACC over 10 years.

2035E financials by scenario:

Metric	Bull	Base	Bear
Adj EBITDA	~$2,044M	~$1,332M	~$691M
Net Income (GAAP)	~$1,600M	~$1,010M	~$496M

Discount factor: 10 years at 11.5% WACC = 2.97x. Net cash: $451.8M. Diluted shares: 305M. All "PV Today" prices reflect the 2035 exit value discounted to present.

1. EV/EBITDA Exit Multiple

Enterprise value = 2035E Adj EBITDA x multiple, plus $451.8M net cash, divided by 305M diluted shares, divided by 2.97 discount factor. Peer context: mature payments processors trade at 12-18x EV/EBITDA; high-growth EM-focused fintech at 15-25x.

Implied share price (present value) by scenario and exit multiple:

EV/EBITDA	Bull	Base	Bear
10x	$23.06	$15.20	$8.13
12x	$27.57	$18.14	$9.65
15x	$34.34	$22.55	$11.94

EV/EBITDA	Bull	Base	Bear
18x	$41.11	$26.97	$14.23
20x	$45.62	$29.91	$15.75

At 15x EV/EBITDA — a reasonable multiple for a growing payments platform — the Base case implies $22.55 today.

2. P/E Exit Multiple

Implied share price (present value) by scenario and exit multiple:

P/E	Bull	Base	Bear
15x	$26.56	$16.72	$8.20
20x	$35.41	$22.30	$10.94
25x	$44.26	$27.87	$13.67
30x	$53.11	$33.44	$16.40

At 20x P/E — reasonable for a company still growing at scale with strong margins — the Base case implies $22.30.

Triangulation Summary

Method	Bull	Base	Bear
DCF (10-yr, Gordon Growth)	$37.98	$26.04	$14.49
EV/EBITDA exit at 15x (2035E)	$34.34	$22.55	$11.94
P/E exit at 20x (2035E)	$35.41	$22.30	$10.94

The three approaches converge in the Base case around $22-26, with the DCF at $26.04 and exit multiples clustering near $22-23. The DCF sits at the higher end, reflecting the benefit of the 10-year explicit forecast that reduces terminal value dependence (57% vs. 77% in a 5-year model). The convergence strengthens confidence in the valuation range. Across methods, the Base case consistently implies value in the low-to-mid twenties, representing significant upside from the current $12.25 share price.

Peer Comparison

Company	Focus	LTM Rev	Rev Growth	TPV	EV/Rev	EV/EBITDA	P/E
DLO	EM payments	~$1.2B	~56%	~$48B	~2.7x	~11x	~19x
PAGS (PagSeguro)	Brazil payments	~$4.5B	~12%	~$130B	~1.0x	~8x	~9x
STNE (StoneCo)	Brazil payments	~$3.2B	~7%	~$100B	~1.3x	~8x	~9x
ADYEN	Global payments	~$2.4B	~19%	~$1.1T	~8.1x	~15x	~30x
MELI (payments)	LatAm e-comm	~$24B	~30%	~$60B	~4.0x	~22x	~35x
PAYONEER	Cross-border	~$0.95B	~16%	~$72B	~2.2x	~11x	~16x

DLO LTM figures reflect the trailing four quarters through Q1 2026 (revenue ~$1.21B, +56% YoY); EV ~$3.3B uses the ~$12.25 share price and $451.8M corporate net cash. Adyen's multiple has compressed materially over the past year (now ~8x EV/Rev, ~15x EV/EBITDA, vs. ~18x/40x previously).

DLocal trades at a significant discount to Adyen (which serves developed markets) but at a premium to Brazil-only players (PAGS, STNE), reflecting its diversified EM exposure and far higher growth rate. On a PEG basis (P/E divided by growth rate), DLO at ~19x P/E with ~56% growth yields a PEG of ~0.3x — substantially cheaper than Adyen (~1.6x PEG) and cheaper than the Brazil players, which are growing in the single digits.

Key Risks

Take rate compression acceleration. If competitive pressure or volume discounts drive the net take rate below 0.6% faster than modeled, revenue growth could disappoint even with strong TPV growth. The Q1 2026 reading of 0.84% — down from 0.88% in Q4 2025 and well below the FY2025 average of 0.99% — confirms the gradual compression continues (management attributed the latest step-down to payment-method mix and narrower FX spreads). The Bear case partially captures this risk, but a structural break in pricing power would be more damaging.

Emerging market currency and macro risk. DLocal operates in countries prone to currency devaluation (Argentina, Nigeria, Egypt, Turkey), political instability, and capital controls. A synchronized EM crisis could compress TPV in USD terms and impair FX spread income. Argentina alone represents ~11% of revenue.

Regulatory risk. Payment regulation in emerging markets is evolving rapidly. Changes in licensing requirements, capital adequacy rules, or restrictions on foreign payment processors could increase compliance costs or limit market access. Central bank digital currencies (CBDCs) could disintermediate private payment rails.

Merchant concentration. While DLocal serves 760+ merchants, a significant portion of TPV comes from the top 10. Loss of a major merchant (unlikely given switching costs, but possible) would materially impact financials.

Competition from local and global players. In Brazil: PAGS, STNE, Adyen, Stripe. In Africa: Flutterwave, Paystack (Stripe). In Asia: local acquirers. DLocal's moat is real but not impregnable — competitors are investing heavily in emerging market infrastructure.

FX translation effects. Even if operating performance is strong in local currency terms, USD-denominated results can be significantly impacted by EM currency movements, creating volatility in reported metrics that may not reflect underlying business health.

AI disruption to payment processing. While DLocal is leveraging AI for internal productivity (~7% headcount equivalent), the broader risk of AI-driven commoditization of payment integrations could erode DLocal's complexity-based moat over the long term. If AI tools make it materially easier for merchants or competitors to build and maintain local payment integrations across emerging markets, DLocal's core value proposition — abstracting away regulatory and infrastructure complexity — could face structural pressure.

Share-based compensation. While not as significant as at some growth companies, SBC dilution is a factor. Diluted shares are ~305M vs. basic shares of ~290M, reflecting ongoing option and RSU vesting. The $300M buyback authorization is designed to offset this dilution.

Conclusion

DLocal occupies a strategically enviable position: the dominant technology platform connecting global commerce with the fastest-growing consumer markets on earth. The company's moat — built on years of painstaking local payment infrastructure development across 40+ countries — is genuinely difficult to replicate. The business model generates attractive margins, strong free cash flow, and requires minimal capital, all while growing TPV at 70%+ annually. Q1 2026 validated the accelerating TPV trajectory with $14.1B processed in a single quarter (+73% YoY) and a record $118.7M in gross profit, with management reaffirming full-year guidance.

The key debate is take rate compression vs. TPV growth. Our 10-year two-phase DCF model shows that even under conservative assumptions (take rate declining to 0.68%, TPV growth decelerating to 20% by 2030 and fading to ~8% by 2035), the Base case supports a fair value of $26.04 — representing +113% upside from the current share price of $12.25. The Bull case, which assumes DLocal captures a larger share of the $2T+ EM digital payments opportunity, implies $37.98 (+210% upside). Even the Bear case, at $14.49, suggests meaningful upside of +18%.

Capital allocation adds another dimension to the thesis: the $57.2M dividend and $300M buyback authorization signal management's confidence in the business and commitment to returning value to shareholders, with 30% of FCF directed toward dividends.

The right mental model is not "payments company with compressing margins" but rather "critical infrastructure platform in the world's fastest-growing payment markets, with a durable competitive moat, world-class merchants, and a long runway of TPV-driven growth that more than offsets natural take rate compression."

At current levels, the risk/reward is favorable for an investor willing to accept emerging market volatility and take a 3-5 year view on the secular digitization of payments in the developing world.

Sources

- DLocal Q1 2026 Earnings Release (May 14, 2026)
- DLocal Q1 2026 Results Summary (StockTitan)
- DLocal Q1 2026 6-K (SEC)
- DLocal FY2024 Annual Report (20-F)
- Q4 FY2025 Results
- DLocal Investor Relations

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